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General Agreement on Tariffs and Trade (GATT)

Talks held in 1948 established the General Agreement on Tariffs and Trade (GATT). This was a broad agreement amongst participating countries to negotiate reductions in barriers to world trade. New Zealand was one of 23 foundation members. For New Zealand the promise of GATT was that trade in agricultural produce would be freed up. This would make New Zealand produce cheaper overseas, and so more people would purchase it.

There were nine GATT ‘rounds’, beginning in 1947. The first six (up to 1967) mainly tackled manufacturing tariffs, and agriculture was seen as a sideline. In fact, in 1955 the US secured a waiver from the GATT’s already weak agricultural provisions.

Butter for buses

Economic historian John Singleton summed up New Zealand's dependence on trade with Britain after the Second World War: 'New Zealand had a trading relationship in which butter and lamb were effectively swapped for Vickers Viscounts and Leyland buses.'¹

Britain remains important

New Zealand's major trade focus continued to be protecting its access to the British market. From 1944, with its own food resources severely depleted, Britain again committed itself to buying New Zealand's exportable surplus of meat, butter and cheese. The agreements were renegotiated for seven years in 1948. However, bulk purchasing ended a year early, in 1954, as production recovered in the UK. The circumstances of the 1930s returned – New Zealand was anxious for secure access to the British market.

British imports

Britain also remained an important source of New Zealand's imports. In the 1950s more than 50% of New Zealand produce received no preferential treatment in Britain, yet 90% of British goods got preferential treatment in New Zealand.

In 1958 New Zealand negotiated an agreement that gave it the option to reduce the preferential treatment given to British imports. However, it did not use this option because it feared losing market access, and high levels of preferential treatment for British imports continued until the late 1960s. The net benefit of this arrangement to Britain in the early 1960s has been estimated at \$540–\$617 million per year (in 2008 terms).

New markets

Nonetheless, New Zealand did look for new markets. A market for meat was developed in the US, and in 1958 New Zealand signed a trade deal with Japan. In return for lower tariffs on Japanese imports and removal of other trade barriers, New Zealand received concessions for its exports of wool and meat to Japan. In 1965 New Zealand signed a free trade agreement with Australia, the first significant agreement since 1922. It worked for some products, such as cars from Australia and carpets from New Zealand, because those products didn't threaten domestic industries in the other country. However, most other products were more politically fraught. Vested interests on both sides of the Tasman ensured that little progress was made in freeing up trade.

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Footnotes

1. John Singleton, 'New Zealand, Britain and the survival of the Ottawa Agreement, 1945-77.' *Australian Journal of Politics and History* 43, no. 2 (1997), p.178. [Back](#)

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Britain looks to join the EEC

In 1961 Britain announced that it was seeking to join the European Economic Community (EEC). It was a logical move for Britain, but in New Zealand it was greeted with dismay. The founding EEC nations had agreed on a ‘common agricultural policy,’ which effectively excluded outside producers from the European market. They justified this by arguing the need to secure food supply in the event of war or other disruption, and to sustain rural communities. If Britain joined the EEC it would have to sign up to the policy, and that would mean an end to New Zealand being able to export agricultural products to Britain.

Fight for life

What followed over the next 10 years was a trade policy coup. A country of

less than 3 million people negotiated concessions (in the form of access quota rights to the British and European markets) from a powerful group of countries with a population of over 200 million.

To do this New Zealand needed Britain's support. It was gained by playing on New Zealand's wartime contribution, the strong cultural ties between the two countries, and the impact on the British consumer – New Zealand was a low-cost producer, so food prices in the UK were likely to rise if New Zealand produce was excluded from the market.

In mid-1961 the British government agreed that it would not enter the EEC unless New Zealand's 'vital interests' were protected. But what those vital interests were was yet to be agreed. Negotiations started and stopped throughout the 1960s. Britain's third application to join the EEC was submitted in 1969.

Luxembourg agreement

Agreement with the EEC was reached in 1971, but only after Britain had secured a special arrangement (the Luxembourg agreement) for New Zealand's butter, cheese and lamb trades. The deal was for a limited period, and had to be revisited regularly over coming years, but it gave New Zealand time to diversify after Britain became a full member of the community in 1973.

In 1970 Britain took more than 90% of New Zealand's butter exports and 75% of cheese exports. The Luxembourg agreement reduced the butter quota by roughly 17% and the cheese quota by roughly 68% over 5 years. Quantities were reduced further after 1977, to about half the 1973 levels. New Zealand continued to have butter quotas in the 1980s and 1990s – although at much reduced levels.

British exports to New Zealand

Britain had long been New Zealand's main supplier of imports, but this was slowly declining – from 48% in the late 1930s, to 43% in 1960, and down to 30% in 1970. This was due partly to the recovery of other economies after the war, and their ability to compete on price and quality with British exporters. But it was also a by-product of Britain's EEC membership. When Britain entered the EEC all bilateral agreements between New Zealand and Britain had to be terminated. Preferential treatment of British imports into New Zealand ended in 1977.

In 1980 imports from Britain had fallen to 14.5%. In 2007 they were less than 3%. In the late 1930s Britain took more than 80% of New Zealand exports. By 1960 it took 53%, which reduced to 36% in 1970, and 5% in 2007.

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Price setting and subsidies

In 1973 the New Zealand economy faltered as export prices fell and the price of oil went through the roof. All of New Zealand's oil supply was imported.

The European Economic Community (EEC) came to dictate world prices in livestock products through the Common Agricultural Policy subsidy regime. When subsidies rose, world prices fell by that amount. US traders, with a similar set-up, could match these prices, but unsubsidised exporters, such as New Zealand, faced depressed prices and uneconomic competition. From 1979 New Zealand set minimum prices for its own producers to ensure their viability – it was a form of income support which was a subsidy in all but name.

The General Agreement on Tariffs and Trade (GATT) Tokyo round of trade talks (1973–79) was disappointing for New Zealand. The talks covered goods that accounted for 90% of world trade, and negotiations ranged more widely than previously. Agricultural trade was meant to feature in the final agreement, but this did not happen as the US drove a quick deal with Europe and Japan to finish the round well before the 1980 US presidential election.

Diversifying trade

In the years after Britain joined the European Economic Community (EEC), trade diversification was a major preoccupation for New Zealand. A manufacturing beef trade (lean beef to blend with US domestic beef for hamburgers) into North America developed in the 1960s. Sales of casein (a milk protein) to the US increased, taking advantage of the unique lack of protection on this dairy product – a loophole classified it as an industrial product.

A second oil shock took place in 1978. Deals that bartered oil for sheep meat were made with Iran, and markets in other oil-producing states were also developed. Agreements were signed with state trading organisations in the Soviet Union and China. New Zealand also had some success in expanding markets in Japan, particularly for aluminium, fish, wool and kiwifruit. In 1980 no single market took more than 20% of New Zealand's exports. Diversifying the product range took longer and was still ongoing in the 2000s.

CER with Australia

The Australian government tired of the product-by-product negotiations required under the 1965 trade agreement and pushed for a simpler arrangement. New Zealand had little choice but to agree. The Closer Economic Relations (CER) agreement was signed in 1983, and allowed New Zealand and Australian businesses to trade in each other's market as domestic rather than foreign producers. This meant that Australian goods were exempt from New Zealand's import licensing regime.

The focus of the agreement was 'outward-looking'. It allowed for participation by other countries, and it did not impose a common external tariff, which gave New Zealand and Australia flexibility in future trade negotiations with other countries. It transformed New Zealand trade policy, which had been grounded in a narrow, reactive view of the place of New Zealand in the world economy.

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